

SETTLEMENT AGREEMENT AND MUTUAL RELEASE

THIS SETTLEMENT AGREEMENT AND MUTUAL RELEASE "Settlement Agreement" is entered into this 29th day of October 2020, ("Effective Date") by and between Viktoriya Fine and Adult Family Health Services, LLC (hereinafter collectively referred to as "Adult Family Health"), and the State of New Jersey, Office of the State Comptroller, Medicaid Fraud Division ("MFD"). Adult Family Health and MFD are hereinafter collectively referred to as the "Parties" and each individually as a "Party."

WHEREAS, MFD conducted a review and determined that during the period of review between March 1, 2015 through December 31, 2019, Adult Family Health was reimbursed by the Division of Medical Assistance and Health Services and/or its fiscal agent and/or the Managed Care Organizations for partial-care services billed under New Jersey local procedure code Z0170 (Partial-Care Per Hour) and Healthcare Common Procedure Coding System (HCPCS) code H0035 in excess of the pre-approved number of authorized units, in violation of N.J.S.A. 30:4D-12(d), N.J.A.C. 10:66-1.4, and N.J.A.C. 10:49-9.8. This scope and period is hereafter referred to as the "Covered Conduct"; and

WHEREAS, MFD determined that, based on the Covered Conduct, Adult Family Health received an overpayment from the Medicaid program; and

WHEREAS, MFD issued a Notice of Overpayment on August 24, 2020; and WHEREAS, the Parties desire to amicably resolve the dispute regarding the alleged overpayment and have reached a mutually acceptable resolution of the controversies that exist between them; and

NOW THEREFORE, in consideration of the mutual promises contained herein, as well as for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties agree to settle their dispute on the following terms:

(1) Adult Family Health agrees to pay restitution to the Medicaid program in the amount of Forty Five Thousand Eight Hundred Twenty Eight Dollars (\$45,828.00) within six (6)

months of the execution of this Settlement Agreement (the “Total Payment Amount”). Payment shall be made to MFD in six (6) monthly payments on or before the 1st business day of each month, starting November 1, 2020, as follows:

- (a) November 1, 2020 \$7,638.00;
- (b) December 1, 2020 \$7,638.00;
- (c) January 1, 2021 \$7,638.00;
- (d) February 1, 2021 \$7,638.00;
- (e) March 1, 2021 \$7,638.00; and
- (f) April 1, 2021 \$7,638.00.

(2) Payment to MFD shall be by check made payable to “Treasurer, State of New Jersey,” and shall be mailed or delivered as follows:

Attention: Processing Bureau
Treasurer, State of New Jersey
Division of Revenue
200 Woolverton Street, Building 20
Lockbox 656
Trenton, New Jersey 08646

Adult Family Health will include “Adult Family Health – [REDACTED] in the memo line to ensure it is properly credited.

(3) If payment as provided for in this Settlement Agreement is more than ten (10) days late, Adult Family Health will be in default of this Settlement Agreement and the remaining unpaid balance of the Settlement Agreement, plus interest, accruing from the date of default will immediately become due (the “Default Amount”). Should Adult Family Health fail to cure the default within five (5) days of receiving notice of the default, the Default Amount will be immediately collected through any means available to MFD, as provided by law.

(4) Adult Family Health agrees to act in full compliance with all applicable state and federal rules and regulations, including but not limited to submitting only claims that accurately and completely reflect the services provided. To that end, Adult Family Health agrees that it will only submit claims for authorized services for which it possesses sufficient documentation to support such claims and that it will implement policies to ensure that the underlying issues that caused or contributed to the Covered Conduct will be appropriately addressed and thereby not repeated.

(5) The Parties agree that this Settlement Agreement is intended to be a final resolution of all issues arising out of the Covered Conduct, and is intended by each party to release the other Party and its representatives from liability arising out of the Covered Conduct, unless MFD is mandated to act by federal or State law; or mandated by order or judgment of a court or administrative agency other than MFD.

(6) Nothing in this Settlement Agreement waives the rights of any other state or federal agency, including, among others, the New Jersey Division of Criminal Justice, from continuing with a pending or beginning a future civil or criminal investigation or other action for alleged conduct concerning Adult Family Health or from taking any action for such conduct. Nothing in this Settlement Agreement waives the rights of MFD to conduct an audit or investigation of prior or future years for the improper submission of any claims or conduct not specifically covered by this Settlement Agreement, and to take any action civilly or criminally for such conduct. Nothing in this Settlement Agreement waives the rights of Adult Family Health to assert any rights, remedies or defenses not expressly released in this Settlement Agreement, all of which are expressly reserved.

(7) The terms of this Settlement Agreement may be modified only by a subsequent written agreement signed by all Parties.

(8) Subject to the express terms of this Settlement Agreement, by the signatures set forth below, the authorization of which is hereby affirmed, Adult Family Health and MFD agree to the following Release: in consideration of the terms of this Settlement Agreement, including this release, each Party agrees to release the other Party and its employees, representatives, officers and directors from liability, obligations and damages arising out of the submission by, and payments to, Adult Family Health of any and all claims for reimbursement by Medicaid or the Medicaid Managed Care Program for the Covered Conduct, referenced above.

(9) Nothing herein shall constitute an admission, concession or finding of wrongdoing or liability by any Party. Neither this Settlement Agreement or its execution, nor the performance of any obligation arising under it, including payment of the Settlement Amount, nor the fact of settlement, is intended to be, or shall be understood as, an admission of liability or wrongdoing, or other expression relating on the merits of the dispute by any Party to this Settlement Agreement.

(10) This Settlement Agreement shall be construed, enforced and governed by the laws of the State of New Jersey.

(11) This Settlement Agreement may be executed in counterparts.

(12) This Settlement Agreement is effective upon the Effective Date reflected on the first page of the Settlement Agreement.

(13) This Settlement Agreement sets forth the entire agreement between and among the Parties hereto with respect to the claims described herein and supersedes any other written or oral understanding. This Settlement Agreement does not reflect any other terms or conditions or agreements between or among the parties with respect to any other matter.

IN WITNESS WHEREOF, and intending to be legally bound, the parties hereto on the following page have executed the foregoing Settlement Agreement:

FORM AND CONTENT ACCEPTED AND AGREED TO BY:

DATE:

By: _____
Viktoriya Fine, owner of Adult Family Health

KEVIN D. WALSH
ACTING STATE COMPTROLLER

DATE: 10/29/2020

By: s/ Josh Lichtblau
Josh Lichtblau
Director
Office of the State Comptroller
Medicaid Fraud Division

DATE: 10/29/2020

By: s/ Don Catinello
Don Catinello
Supervising Regulatory Officer
Office of the State Comptroller
Medicaid Fraud Division

DATE: 10/29/2020

By: s/ Siobhan Krier
Siobhan B. Krier
Regulatory Officer
Office of the State Comptroller
Medicaid Fraud Division

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Health Services

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Josh Lichtblau
Director
Office of the State Comptroller
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By: _____
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Office of the State Comptroller
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Siobhan B. Krier
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Office of the State Comptroller
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